Blended funds are picked to have a mixture of some growth companies that provide dividends, but also some companies that reinvest their dividends so they can continue to grow and create capital gains (and potentially even larger dividends later on). They're not as popular, but they serve as a good option for people still on the fence.

Starting a FIRE with our wealth

An extreme form of investing is starting to gain traction around the world. It's called financial independence, retire early (or FIRE), a concept coined in the 1992 bestseller *Your Money or Your Life* by Vicki Robin and revitalised by Peter Adeney with his Mr. Money Mustache blog in the early 2000s. It's enabling people to retire earlier, in their thirties and forties rather than at the traditional age of 65.

The FIRE movement is built off the idea that you can build up an investing portfolio large enough that it acts like an unlimited little pot of gold. It's like being a trust fund baby, but rather than being gifted a trust fund by your Upper East Side parents, you created it yourself.

You do this by increasing your income (e.g. upskilling in a job), living frugally and investing the difference (as much as you can) into a broad market index fund. People who follow the FIRE movement try to save as much as 60 to 70 per cent of their income. The more you can save, the better.

Sounds too good to be true? I thought so as well, but the maths check out. The FIRE movement proposes that if you get your investing portfolio to the point where you can live off 4 per cent of its annual return you can retire from your job and work because you want to, not because you have to.

But won't 4 per cent every year drain your investment portfolio? This is where your financial knowledge comes in. Remember how I've said the stock market usually returns 7 to 10 per cent annually? Let's keep it at 7 per cent to be conservative. If, on average, the market rises at least 7 per cent annually, your draw down of only 4 per cent will still allow your portfolio at least 3 per cent to continue to grow. It's neat.

The first step is to decide how much you can live off. There are different levels of FIRE: